

REUBEN SINGH



◀ **DASS HITACHI** EXECUTIVE DIRECTOR  
PRADEEP DASS

The pioneering firm with a turnover of Rs 40 crore specialises in nuclear shelters and biological and chemical ventilation systems.

**"Because of low volumes, SMEs go where the big guns don't."**

in developmental activities in association with the Defence Research & Development Organisation. It specialises in nuclear, biological and chemical (NBC) protection and is the only indigenously approved producer of NBC ventilation systems. It makes underground, self-contained, NBC-protected, portable shelters—designed to help Indian forces withstand a nuclear attack in a 'near-miss' situation—in large numbers. The shelters include a decontamination module and a utility module with living accommodation and facilities sustainable for 96 hours. Executive Director Pradeep Dass is reluctant to divulge the capacity of the weapon system it is designed to withstand, but he indicates that the shelter has been successfully evaluated for a blast of requisite yield under actual field conditions.

At an estimated \$45 billion (Rs 1.8 lakh crore), the Indian defence market will be one of the world's most attractive ones in the next five years. A study by Ernst and Young and ASSOCHAM says the market for private defence firms will grow by 30 per cent in two years' time. Soon India will also have the defence sector's first equivalents of the Tirupur hosiery and the Gurgaon auto

component clusters. DEMA is scouting for at least 50 acres in Pune, where 50 hi-tech defence equipment manufacturers can be based. "The business itself is driving the growth of SMEs, most of which are nimble-footed," says Pradeep Kumar, secretary, defence production, Ministry of Defence (MOD).

**T**he SME environment has been further conditioned by MOD's procurement policy, which makes what are called direct offsets mandatory. This means that foreign firms have to plough back 30 per cent of the value of all contracts worth over Rs 300 crore into the Indian market by sourcing materials and transferring technology to the domestic industry. Thus, at least Rs 54,000 crore will flow as offsets into the defence industry in the form of high technology from foreign defence majors. "It is an exciting opportunity for the Indian industry to raise the technology threshold, since offsets don't differentiate between the private and public sectors," says Mehta. Larsen and Toubro and Hyderabad-based Astra Defence Software became the first beneficiaries of defence offsets in 2006, when Israeli firm Elta chose to invest Rs 250

crore to source components from them after signing a deal to supply radars worth Rs 833 crore to IAF. Six foreign firms, including Lockheed Martin and Boeing, which are competing for a \$10-billion (Rs 40,000-crore) tender to buy 126 multi-role warplanes for IAF, are wooing SMEs to disburse about \$5 billion (Rs 20 crore) in offsets.

Indian firms, on the other hand, say they don't lack technology or manpower, but face hurdles in funding and infrastructure. Financial institutions are still reluctant to offer credit to SMEs. "It will take us at least five more years to start thinking of absorbing offsets," says D.S. Kamlapurkar, president, DEMA. The Government is yet to move on key promises like the Raksha Udyog Ratnas, where the private sector would be given parity with PSUs. It is also sitting on a proposal cleared by former defence minister Pranab Mukherjee to pump Rs 100 crore into the private sector for R&D. It is up to the Government to nurture defence SMEs and usher in an era of self-sufficiency. ■